

HIX, et al v FCA US, LLC, et al

25CV48078

FCA's DEMURRER AND MOTION TO STRIKE PUNITIVE DAMAGES CLAIM

This case involves a dispute over a vehicle warranty dispute between Thomas C. Hix ("Hix") and Integrated Development Strategies, Inc. ("Plaintiffs") and FCA US, LLC ("Defendant"). Now before the Court is Defendant's demurrer and motion to strike the Plaintiffs' First Amended Complaint ("FAC").

I. Facts

On or about September 2, 2022, Plaintiffs entered into a warranty contract with Defendant FCA regarding a 2022 Ram 2500, vehicle identification number 3C6UR5TL3NG260994 (hereafter "Vehicle"), which was manufactured and or distributed by Defendant FCA. (Complaint ¶ 9.) The warranty was a "bumper to bumper warranty." (*Id.* ¶ 10, Ex. A.) At some point, defects and nonconformities to warranty manifested themselves, including engine defects that that can result loss of power, stalling, engine running rough, engine misfires, failure or replacement of the engine (the "Engine Defect.") (*Id.* ¶ 21.)

Plaintiffs allege that Defendant knew since prior to Plaintiffs purchasing the Vehicle that the 2022 Ram 2500 vehicles were subject to the Engine Defect. (FAC ¶¶ 24, 25.) Plaintiffs allege that the Engine Defect is a safety concern because it can suddenly affect the driver's ability to control the vehicle or cause a non-collision vehicle fire, among other safety hazards. (*Id.* ¶ 22.) Plaintiffs allege the vehicle is now of *de minimus* value and seeks damages.

II. Legal Standards

"A demurrer tests the sufficiency of a complaint and admits all facts properly pleaded." (*Setliff v. E.I. Du Pont de Nemours & Co.* (1995) 32 Cal. App. 4th 1525, 1533.) The court

assumes the truth of the allegations asserted but does not assume the truth of “contentions, deductions, or conclusions of law.” (*California Logistics, Inc. v. State of California* (2008) 161 Cal. App. 4th 242, 247.) The court can further look at those facts that “reasonably can be inferred from those expressly pleaded, and matters of which judicial notice has been taken.” (*MKB Management, Inc. v. Melikian*, (2010), 184 Cal.App.4th 796, 802.) If a complaint does not sufficiently state a cause of action, “but there is a reasonable probability that a defect can be cured by amendment, leave to amend must be granted.” (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal. 4th 26, 38.)

Defendant asserts that the Plaintiffs’ Complaint is subject to demurrer pursuant to Civ. Code 430.10 (e) (failure to state a claim).

A motion to strike lies either to strike: (1) any “irrelevant, false or improper matter inserted in any pleading”; or (2) any pleading or part thereof “not drawn or filed in conformity with the laws of this state, a court rule or order of court.” (CCP § 436.) A motion to strike may also be used to strike allegations related to an improper request for relief. (*Saberi v. Bakhtiari* (1985) 169 Cal.App.3d 509, 517.) A motion to strike can be used to attack the entire pleading, or any part thereof—i.e., even single words or phrases. (*Warren v. Atchison, Topeka & Santa Fe Ry. Co.* (1971) 19 Cal.App.3d 24, 40.)

III. Discussion

A. Demurrer

1. Implied Warranty Claims

Defendant first demurs to Plaintiffs’ implied warranty cause of action on the grounds that they have expired under Civil Code section 1791.1(c). Defendant, however, misconstrues this code section as providing a statute of limitations that would limit a purchaser’s rights rather than as a section that broadens consumer protection.

“Under the Song-Beverly Act, every retail sale of ‘consumer goods’ in California includes an implied warranty by the manufacturer and the retail seller that the goods are ‘merchantable’ unless the goods are expressly sold ‘as is’ or ‘with all faults.’” (*Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1303.) The Song-Beverly Act was enacted “in order to provide greater protections and remedies for consumers” than were available under the Uniform Commercial Code (“UCC”). (*Ibid.*) One of these consumer-

protective innovations found in the Song-Beverly Act is an “express provision for a duration of the implied warranty of merchantability.” (*Id.* at 1304.) That is, where under the UCC, a “purchaser was required to show that the defect existed at the time the product was sold or delivered,” the Song-Beverly Act allowed for a purchaser to sue for breach of implied warranty for defects that latent or undiscoverable at the time of purchase. (*Ibid.*)

Contrary to Defendant’s assertions, Civil Code section 1791.1(c) does not operate as a statute of limitations and does not bar Plaintiffs’ claims.

Accordingly, the **demurrer as to the cause of action for breach of implied warranties is OVERRULED.**

2. Fraudulent Concealment

Defendant also demurs to Plaintiffs’ claim for Fraudulent Inducement- Concealment. Defendant demurs on the grounds that the cause of action does not meet the heightened pleading requirements for fraud and based on the economic loss rule.

To establish a claim for fraudulent concealment, a plaintiff must plead and prove the following elements: (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact to the plaintiff; (3) intent to defraud by intentionally concealing or suppressing the fact; (4) the plaintiff’s lack of knowledge of the concealed or suppressed fact and resulting reliance; and (5) damages sustained as a direct result of the concealment or suppression. (*Hambridge v. Healthcare Partners Medical Group, Inc.* (2015) 238 Cal.App.4th 124, 162, quoting *Graham v. Bank of America, N.A.* (2014) 226 Cal.App.4th 594, 606.)

A cause of action for fraud based on nondisclosure or concealment must also establish that the defendant had a legal duty to disclose the withheld facts. (*OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp.* (2007) 157 Cal.App.4th 835, 845.) Absent a fiduciary relationship between the parties, courts recognize three circumstances where nondisclosure or concealment may constitute actionable fraud: (1) where the defendant possesses exclusive knowledge of material facts unknown to the plaintiff; (2) where the defendant actively conceals a material fact from the plaintiff; and (3) where the defendant makes partial representations while suppressing other material facts. (*Bigler-Engler v. Berg, Inc.* (2017) 7 Cal.App.5th 276, 311, quoting *LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336.)

Here Plaintiffs allege that Defendant concealed the known Engine Defect from Plaintiffs. Plaintiffs allege that Defendant had a duty to disclose this fact because it had superior knowledge of the fact due to “pre-production testing data, early consumer complaints about the Engine Defect made directly to FCA and its network of dealers, aggregate warranty data compiled from FCA’s network of dealers, testing conducted by FCA in response to these complaints, as well as warranty repair and part replacements data received by FCA from FCA’s network of dealers, amongst other sources of internal information.” (Complaint ¶ 72.) Plaintiffs allege that in failing to inform Plaintiffs of the Engine Defect, Defendant intended to mislead Plaintiffs. Plaintiffs allege it lacked any knowledge of the Engine Defect and relied on the representations made in Defendant’s materials (which did not disclose the Engine Defect) in purchasing the Vehicle. (*Id.* ¶ 75.) Finally, Plaintiffs allege that they suffered damages as a result of the concealment.

Defendant, however, argues that the claim is not pled with specificity, including the date, time and place of the concealment. However, “less specificity is required where the defendant necessarily possesses the information.” (*Bajaras v. Ford Motor Co.* 2025 Cal.Super.LEXIS 1185, *3-4, citing *Committee on Children’s Television, Inc. v. General Foods, Inc.* (1983) 35 Cal.3d. 197, 216-217.) Further, “it is not practical to require allegations of specific facts showing how, when, and by what means something did not happen.” (*Id.*) The Court finds the Plaintiff adequately pleads the elements of fraudulent concealment with enough particularity at this stage.

Defendant also argues that the claim is barred by economic loss rule. “The economic loss rule prohibits parties from recovering tort damages for what is essentially a breach of contract claim.” (*Sheen v. Wells Fargo Bank* (2022), 12 Cal.5th 905, 922.) The rule “requires a purchaser to recover in contract for purely economic loss due to disappointed expectations, unless he can demonstrate harm above and beyond a broken contractual promise.” (*Robinson Helicopter Co. v. Dana Corp.* (2004), 34 Cal.4th 979, 988.)

However, the economic loss doctrine does not apply “where the contract was fraudulently induced.” (*Erlich v. Menezes* (1999), 21 Cal.4th 543, 552.) Specifically, “concealment-based claims for fraudulent inducement are not barred by the economic loss rule.” (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 840.) This is because “a defendant’s conduct in fraudulently inducing someone to enter a contract is separate from the defendant’s later breach of the contract or warranty provisions that were agreed to.” (*Ibid.*) Here, Plaintiffs’ claim for fraudulent inducement by concealment is based on pre-sale concealment of facts known solely by Defendant which were not conveyed to Plaintiffs. (*Id.* [stating, “we decline to hold that plaintiffs’ fraud claim (based in part on presale concealment) is barred by the economic loss rule.”].)

Accordingly, the **demurrer as to the cause of action for fraudulent concealment is OVERRULED.**

B. Motion to Strike

Punitive damages are recoverable where a plaintiff proves “by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice.” (Civ. Code, § 3294.) Relevant to this case, “malice” means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of rights or safety of others. (*Ibid.*) “Oppression” means conduct that subjects a person to “cruel and unjust hardship in conscious disregard of that persons’ rights.” (Civ. Code. §3294(c)(2).)

The proper standard for a motion to strike punitive damages is whether plaintiff has alleged “ultimate facts” showing an entitlement to exemplary damages. (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255.) Here, the FAC states that Defendant was aware of the Engine Defect prior to the Plaintiffs’ purchase of the Vehicle but chose not to disclose it to consumers. Plaintiffs allege that the Engine Defect was serious, “can suddenly affect the driver's ability to control the vehicle or cause a non-collision vehicle fire. Even more troubling, the Engine Defect can cause the vehicle to fail without warning while the Vehicle is moving at highway speeds.” (FAC ¶ 70.) These allegations, along with Plaintiffs’ claims for fraudulent concealment, are sufficient to state claims for punitive damages based on fraud or malice.

Accordingly, Defendant’s **motion to strike punitive damages claim is DENIED.**

The clerk shall provide notice of this ruling to the parties forthwith. Plaintiffs to submit a formal Order complying with Rule 3.1312 in conformity with this Ruling.

DeLONG v BAKER, et al

25CF15296

PLAINTIFF'S MOTION TO COMPEL DISCOVERY

This is a dispute involving the alleged failure to disclose certain defects as part of a real estate sale brought by Justin Delong ("Plaintiff") against Clayton Baker and Notasha Baker ("Defendants").

Plaintiff's Motion to Compel responses to request for production of documents is unopposed.

I. Procedural History

On September 20, 2025, Plaintiff served on Defendants a set of discovery requests entitled Request for Production of Documents, Set One, via certified U.S. Mail, addressed to their last known mailing address. (Declaration of Justin Delong ("Delong Decl.") ¶ 2, Ex. A.) Responses were due thirty-five days thereafter, on October 25, 2025. (Code Civ. Proc. § §2030.260(a) and 1013(a).) As of the filing of the motion on October 28, 2025, Defendants had not responded.

II. Legal Standard and Discussion

A. Motions to Compel

Pursuant to Code Civ. Proc. section 2031.300, if a party to whom requests for production of documents fails to serve a timely response then:

(a) The party to whom the demand for inspection, copying, testing, or sampling is directed waives any objection to the demand, including one based on privilege or on the protection for work product under Chapter 4 (commencing with Section 2018.010). The court, on motion, may relieve